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Case Name: *Ankur Rustagi et al. v. Matthew David Wheeler et al.*

Case No.: 23CV426650

I. BACKGROUND

This is a dispute arising from the purchase of residential property in San Jose. Plaintiffs Ankur Rustagi and Dora Gyulai (“Plaintiffs”) purchased a single-family residence located at 779 Calero Avenue, San Jose, CA 95123 from defendants Matthew and Megan Wheeler (the “Sellers”) in June of 2021. Plaintiffs allege that the Sellers failed to disclose structural problems with the property.

Plaintiffs filed their original and still-operative complaint on November 30, 2023. The complaint states seven causes of action: (1) Breach of Written Contract (against the Sellers and Does); (2) Intentional Misrepresentation (against the Sellers and Does); (3) Fraudulent Concealment (against the Sellers and Does); (4) Statutory Failure to Disclose (Civil Code section 1102—against the Sellers and Does); (5) Negligent Misrepresentation (against the Sellers and Does); (6) Negligence (against the Sellers and Does); and (7) Negligence (against defendant Avalon Structural, Inc. and Does). There are no exhibits attached to the complaint.

Currently before the court is a demurrer to the complaint by defendant Avalon Structural, Inc. (“Avalon”). Avalon was the general contractor for certain “structural repairs” to the property in 2016. (Complaint, ¶ 31.)

II. DEMURRER TO THE COMPLAINT

A. General Standards

The court, in ruling on a demurrer, treats it “as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law.” (*Piccinini v. Cal. Emergency Management Agency* (2014) 226 Cal.App.4th 685, 688, citing *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) “A demurrer tests only the legal sufficiency of the pleading. It admits the truth of all material factual allegations in the complaint; the question of plaintiff’s ability to prove these allegations, or the possible difficulty in making such proof does not concern the reviewing court.” (*Committee on Children’s Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 213-214.) A plaintiff is not ordinarily required to allege “‘each evidentiary fact that might eventually form part of the plaintiff’s proof’” (*Ferrick v. Santa Clara University* (2014) 231 Cal.App.4th 1337, 1341 [citation omitted].)

“Where a pleading includes a general allegation, such as an allegation of an ultimate fact, as well as specific allegations that add details or explanatory facts, it is possible that a conflict or inconsistency will exist between the more general allegation and the specific allegations.” (*Perez v. Golden Empire Transit Dist.* (2012) 209 Cal.App.4th 1228, 1235 (*Perez*).) “To handle these contradictions, California courts have adopted the principle that specific allegations in a complaint control over an inconsistent general allegation.” (*Id.* at pp. 1235–1236.) “Under this principle, it is possible that specific allegations will render a complaint defective when the general allegations, standing alone, might have been sufficient.” (*Id.* at p. 1236.) “It is well established that in the context of a demurrer, specific allegations control over more general ones.” (*Chen v. PayPal, Inc.* (2021) 61 Cal.App.5th 559, 571-572 (*Chen*) [citing *Perez*, among others].)

The court considers only the pleading under attack, any attached exhibits (part of the “face of the pleading”), and any facts or documents for which judicial notice is properly requested. The court cannot consider extrinsic evidence in ruling on a demurrer or motion to strike. This includes declarations. The court has considered the declaration of counsel Michael Tunink only to the extent that it discusses the meet-and-confer efforts required by statute. The court has not considered the exhibits attached to that declaration.

Code of Civil Procedure section 430.60 states that “[a] demurrer shall distinctly specify the grounds upon which any of the objections to the complaint, cross-complaint, or answer are taken. Unless it does so, it may be disregarded.” The rules of court also require that the demurrer itself (distinct from a supporting memorandum) specify the target of any objection and the grounds. (See Cal. Rules of Court, rules 3.1103(c), 3.1112(a), and 3.1320(a) [“Each ground of demurrer must be in a separate paragraph and must state whether it applies to the entire complaint, cross-complaint, or answer, or to specified causes of action or defenses.”]; see also 5 Witkin, *Cal. Procedure* (5th ed., 2019) Pleading, § 953 [“Each ground of demurrer must be in a separate paragraph and must state whether the demurrer applies to the entire complaint, cross-complaint, or answer, or to specified causes of action or defenses.”].)

Finally, “points raised in the reply brief for the first time will not be considered, unless good reason is shown for failure to present them before.” (*Proctor v. Vishay Intertechnology, Inc.* (2013) 213 Cal.App.4th 1258, 1273; See also *REO Broadcasting Consultants v. Martin* (1999) 69 Cal.App.4th 489, 500 [“This court will not consider points raised for the first time in a reply brief for the obvious reason that opposing counsel has not been given the opportunity to address those points.”].)

B. Basis for the Demurrer

Avalon demurs to the seventh cause of action on the ground that it fails to state sufficient facts. (See Notice of Demurrer and Demurrer, pp. 1:25-2:4.)

C. Discussion

As an initial matter, the court notes that the meet-and-confer efforts here were insufficient. Code of Civil Procedure section 430.41, subdivision (a), requires the parties to meet and confer “in person, by telephone, or by video conference” before the filing of a demurrer. The exchange of emails described in the declaration of Michael Tunink does not comply with the plain terms of the statute. Nevertheless, because a finding that meet-and-confer efforts were insufficient is not itself a basis for sustaining or overruling a demurrer, the court will consider the demurrer on its merits. (See Code Civ. Proc, § 430.41, subd. (a)(4).)

The court also notes that the demurrer is untimely. A proof of service shows that service of the summons and complaint on Avalon occurred on December 6, 2023. A party may file a demurrer within 30 days of service of the complaint. (See Code Civ. Pro. § 430.40, subd. (k).) Avalon’s demurrer was not filed until April 18, 2024, making it untimely. Plaintiffs have not raised this issue, and the court is unaware of whether the parties have had any discussions or agreement regarding the time to respond to the complaint. The court elects to exercise its discretion to consider this untimely demurrer. (See *Jackson v. Doe* (2011) 192 Cal.App.4th 742, 750 [trial court properly exercised its discretion in considering untimely demurrer].)

The court SUSTAINS Avalon's demurrer to the seventh cause of action with 20 days' leave to amend, as follows.

"In order to establish negligence, a plaintiff must demonstrate a duty on the part of defendant, breach of that duty, causation and damages." (*Strong v. State of Cal.* (2011) 201 Cal.App.4th 1439, 1449.) Whether a duty of care exists is a question of law for the Court. (*Id.*) "Negligence may be alleged in general terms; that is, it is sufficient to allege an act was negligently done without stating the particular omission which rendered it negligent." (*Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 747.) "While negligence is ordinarily a question of fact, the existence of duty is generally one of law. Thus, a demurrer to a negligence claim will properly lie only where the allegations of the complaint fail to disclose the existence of any legal duty owed by the defendant to the plaintiff." (*Osornio v. Weingarten* (2004) 124 Cal.App.4th 304, 316, internal citations omitted.)

Here, the seventh cause of action alleges in conclusory fashion that the "Construction Defendants," including Avalon, "owed *the owner* a legal duty to exercise reasonable care in performing the functions, duties and responsibilities inherent in each of their respective disciplines. Further Avalon owed a legal duty to exercise reasonable care in performing the functions, duties, and responsibilities of [a] general contractor." (Complaint, ¶ 90, emphasis added.) It further alleges that it was foreseeable to the "Construction Defendants" that the property might be sold, and that they therefore knew or should have known that "subsequent purchasers, such as Plaintiffs" would suffer damages if the "Construction Defendants" or Does "failed to perform such functions, duties and responsibilities in a reasonable manner commensurate with the prevailing standard of care for such disciplines." (*Id.* at ¶ 92.) The complaint also alleges that "Defendants breached their duty owed to Plaintiffs by their actions and omission including, but not limited to, failing to use reasonable care in providing services or providing materials, failing to properly supervise their own subcontractor and/or workers, failing to obtain a soils report, and failing to perform services and work in a proper and workmanlike manner and in compliance with the California Building Code and in conformance with the approved architectural drawings and/or structural plans." (*Id.* at ¶ 93.)¹

Avalon is correct that the seventh cause of action fails to allege how Avalon breached a duty of care owed to plaintiffs, as opposed to the prior owners of the property.

As noted above, specific allegations control over general ones on demurrer. (See *Perez and Chen, supra*.) The seventh cause of action incorporates the prior general allegations by reference. (See Complaint, ¶ 89.) Among them are specific allegations at paragraphs 31-35 that "just prior to Sellers [the Wheelers] purchasing the Property in 2016, Avalon was engaged to conduct structural repairs to the Property," that these repairs "failed to adequately or properly address the structural problems," and that the Wheelers were aware of this failure and "continued to make cosmetic repairs." All of this was allegedly not disclosed to plaintiffs before they purchased the subject property. These allegations establish that any negligence cause of action arising from Avalon's structural repair work accrued in 2016 or earlier and either belongs to the Wheelers or to the owners who immediately preceded them, rather than to Plaintiffs. As a general matter, "a cause of action for damage to real property accrues when the defendant's act causes '*immediate and permanent injury*' to the property or, to put it another

¹ No violation of any provision of the Building Standards Code is alleged in the complaint.

way, when there is ‘[a]ctual and appreciable harm’ to the property.” (*Siegel v. Anderson Homes, Inc.* (2004) 118 Cal.App.4th 994, 1005 (*Siegel*) [emphasis in original, internal citations omitted].)

The Court of Appeal in *Krusi v. S.J. Amoroso Construction Co.* (2000) 81 Cal.App.4th 995 (*Krusi*), a decision cited by Plaintiffs in the opposition, noted that “the *Biakanja* rule simply means that a duty may run from an architect, engineer, or contractor to a subsequent owner of real property. It does not mean that, in a case implicating damage to such property, once a cause of action in favor of a prior owner accrues, another cause of action against the same defendant or defendants can accrue to a subsequent property owner—unless, of course, the damage suffered by that subsequent owner is fundamentally different from the earlier type. Thus, if owner number one has an obviously leaky roof and suffers damage to its building on account thereof, a cause of action accrues to it against the defendant or defendants whose deficient design or construction work caused the defect. But, if that condition goes essentially unremedied over a period of years, owners two and three of the same building have no such right of action against those defendants, unless such was explicitly (and properly) transferred to them by owner number one.” (*Id.* at p. 1006 [citing *Biakanja v. Irving* (1958) 49 Cal.2d 647].) The Court in *Siegel, supra*, similarly noted that while a duty of care could run from a contractor to a subsequent owner, this “does not mean that, in a case implicating *damage to such property*, once a cause of action in favor of a prior owner accrues, another cause of action against the same defendant or defendants can accrue to a subsequent property owner—unless, of course, the damage suffered by that subsequent owner is fundamentally different from the earlier type” (*Siegel, supra*, 118 Cal.App.4th at p. 1006 [italics in original; internal citations omitted].) In *Jasmine Networks, Inc. v. Superior Court* (2009) 180 Cal.App.4th 980, 995, the Court of Appeal further noted the “central premise that a right of action for damage to property is distinct from the title to the property, and from any right in the property, and that the transfer of the latter does not by itself effect a transfer or diminution of the former.”

As there are no allegations in the complaint that any prior owners transferred any already accrued negligence claim against Avalon to Plaintiffs, the seventh cause of action fails to state sufficient facts. The court agrees with Avalon that the demurrer must be sustained.

A plaintiff bears the burden of demonstrating that an amendment would cure the defect identified on demurrer. (See *Schifando v. City of Los Angeles* (2003) 31 Cal.4th 1074, 1081; *Shaeffer v. Califia Farms, LLC* (2020) 44 Cal.App.5th 1125, 1145 [“The onus is on the plaintiff to articulate the ‘specifi[c] ways’ to cure the identified defect, and absent such an articulation, a trial or appellate court may grant leave to amend ‘only if a potentially effective amendment [is] both apparent and consistent with the plaintiff’s theory of the case. [Citation.]’”].) Here, Plaintiffs’ opposition fails to meet this burden, as it does not request leave to amend at all, let alone articulate any specific manner in which the seventh cause of action could be amended. Instead, it simply argues that the demurrer “is wholly lacking in merit and should be denied,” and that it “demonstrates a misunderstanding of the law and Plaintiffs’ complaint to such a shocking degree that it appears more likely to be a calculated delay tactic than a genuine argument.” (See Opposition, pp. 4:13 & 1:27-2:1.)

While this rhetoric is somewhat antithetical to supporting any leave to amend, the court will nonetheless grant 20 days’ leave to amend on the basis that this is the first pleading challenge in this case to be heard by the court.

Plaintiffs are reminded that when a demurrer is sustained with leave to amend, the leave must be construed as permission to the pleader to amend the causes of action to which the demurrer has been sustained, not to add entirely new causes of action. (*Patrick v. Alacer Corp.* (2008) 167 Cal.App.4th 995, 1015.) To raise claims entirely unrelated to those originally alleged requires either a new lawsuit or a noticed motion for leave to amend. “Following an order sustaining a demurrer or a motion for judgment on the pleadings with leave to amend, the plaintiff may amend his or her complaint only as authorized by the court's order. The plaintiff may not amend the complaint to add a new cause of action without having obtained permission to do so, unless the new cause of action is within the scope of the order granting leave to amend.” (*Zakk v. Diesel* (2019) 33 Cal.App.5th 431, 456, citing *Harris v. Wachovia Mortgage, FSB* (2010) 185 Cal.App.4th 1018, 1023.)

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Case Name: *Debra Ryan et al. v. AAA et al.*

Case No.: 23CV427933

I. BACKGROUND

This is a dispute over insurance coverage for fire-related losses suffered by plaintiffs Debra and Richard Ryan (the “Ryans”) in December 2020 at their residence in San Jose, California.

The Ryans filed their original complaint, a form complaint, on December 18, 2023. They filed their operative first amended complaint (“FAC”), also a form complaint, on February 6, 2024. The FAC states two causes of action: (1) breach of written contract (insurance policies), and (2) fraud (with boxes checked for misrepresentation, concealment, and promise without intention to perform).² Both causes of action are alleged against “AAA, CSAA Insurance Exchange.” There is also an exemplary damages attachment. Attached to the FAC as Exhibits A and B are copies of (1) Homeowners Policy Declarations issued by “AAA Insurance underwritten by CSAA Insurance Exchange” covering the period from “10/16/2020” to “10/16/2021,” listing Richard Ryan and Debra Ryan as named insureds, with an attached “California Homeowners Policy Special Form HO-3” from “AAA Insurance,” and (2) a copy of a December 20, 2023 letter from “AAA Insurance | CSAA Insurance Exchange” stating that Richard Ryan’s claim was now closed and that all payments owed had been issued.

Currently before the court is a demurrer to the FAC by defendants AAA and CSAA Insurance Exchange (“Defendants”), filed on April 19, 2024. The Ryans filed an opposition on July 17, 2024.

II. REQUESTS FOR JUDICIAL NOTICE

Both sides here have submitted requests for judicial notice. “Judicial notice may not be taken of any matter unless authorized or required by law.” (Evid. Code, § 450.) A precondition to judicial notice in either its permissive or mandatory forms is that the matter to be noticed be relevant to the material issue before the court. (*Silverado Modjeska Recreation and Park Dist. v. County of Orange* (2011) 197 Cal.App.4th 282, 307 [citing *People v. Shamrock Foods Co.* (2000) 24 Cal.4th 415, 422, fn. 2].) It is the court, and not the parties, that determines relevance. Evidence Code section 453, subdivision (b), requires a party seeking notice to “[furnish] the court with sufficient information to enable it to take judicial notice of the matter.”

A. Defendants’ Request

Defendants request judicial notice of two documents, attached as Exhibits A and B, pursuant to Evidence Code section 452, subdivision (h). Both documents are described as

² The second cause of action is improperly titled “Fraud and Breach of the Implied Covenant of Good Faith and Fair Dealing.” This is two different causes of action. A plaintiff may not plead causes of action with separate and distinct elements as one cause of action, and the second cause of action does not plead the elements of a breach of implied covenant claim against an insurer. Each cause of action attachment form states near the top: “Use a separate cause of action form for each cause of action.”